EUROPEAN COMMISSION

Brussels, 18.12.2024
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PUBLIC VERSION

In the published version of this decision, some information has been omitted pursuant to Article 17(2) of Council Regulation (EC) No 139/2004 concerning non-disclosure of business secrets and other confidential information. The omissions are shown thus […]. Where possible the information omitted has been replaced by ranges of figures or a general description.

Eiffage Energie Systèmes – Participations SAS
3-7 Place de l'Europe
78140 Vélizy-Villacoublay
France

Dear Sir or Madam,

Subject: Case M.11577 – EIFFAGE / EQOS
Approval of Stadsbader NV as purchaser of EQOS Energie Belgium SA following your letter of 26 November 2024 and the Trustee's opinion of 28 November 2024

1. FACTS AND PROCEDURE

(1) By decision of 16 October 2024 (the 'Decision') based on Article 6(1)(b) in connection with Article 6(2) of Council Regulation (EC) No 139/2004 (the 'Merger Regulation')[1], the Commission declared the operation by which Eiffage Energy Systèmes – Participations SAS ('EES', France), ultimately controlled by Eiffage S.A. ('Eiffage', France) acquired within the meaning of Article 3(1)(b) of the Merger Regulation, sole control of EQOS Energie Deutschland GmbH ('EQOS', Germany) and its subsidiaries, compatible with the internal market subject to conditions and obligations (the 'Commitments'). Eiffage and EQOS are together referred to as the 'Parties'.

(2) The Commitments require the divestment of EQOS Energie Belgium SA ('EQOS Belgium' or the 'Divestment Business', Belgium), a legal entity wholly owned by EQOS, which is active in the installation and maintenance of catenaries and overhead contact lines and tracks works in Belgium.

[1] Council Regulation (EC) No 139/2004 of 20 January 2004 on the control of concentrations between undertakings, OJ L 24, 29.1.2004, p.1.

(3) As described in Schedule 1 to the Commitments, the Divestment Business includes all assets and stadd that contribute to the current operation or are necessary to ensure its viability and competitiveness, in particular:

(a) All tangible and intangible assets (including intellectual property rights);

(b) All licences, permits and authorisations issued by any governmental organisation for the benefit of the Divestment Business;

(c) All contracts, leases, commitments and customer orders of the Divestment Business; all customer, credit and other records of the Divestment Business;

(d) The personnel included in Table 2 of Schedule 1 to the Commitments (the 'Personnel'); including (i) the key personnel, notably EQOS Belgium's CEO, CFO, COO, […] (the 'Key Personnel'); and (ii) the employees with operational functions […];

(e) Transitional arrangements for a number of products and services, as detailed in Schedule 1 to the Commitments.

(4) By letter of 26 November 2024, the Parties proposed Stadsbader NV ('Stadsbader', Belgium) for approval by the Commission as purchaser of the Divestment Business (the 'Reasoned Proposal') and submitted the proposed Share Purchase Agreement dated 12 November 2024 and related agreements (the 'Proposed Agreements'). The acquisition of the Divestment Business by Stadsbader will be referred to as the 'Proposed Transaction'.

(5) On 28 November 2024, Alcis Advisers GmbH, the appointed Monitoring Trustee (the 'Trustee') submitted an assessment (the 'Reasoned Opinion') of Stadsbader's suitability as a purchaser and, in particular, indicated that it considers that Stadsbader fulfils the purchaser requirements in section D of the Commitments attached to the Decision. In this assessment, the Trustee also indicated that, based on the Proposed Agreements, it considers that the Divestment Business would be sold in a manner consistent with the Commitments.

2. ASSESSMENT OF THE PROPOSAL

2.1. The purchaser requirements

(6) Pursuant to paragraph 25 of the Commitments, the final binding sale and purchase agreement (as well as ancillary agreements) relating to the divestment of the Divestment Business are conditional on the Commission's approval. For this approval the Commission will verify that the purchaser fulfils the purchaser criteria and that the Divestment Business is sold in a manner consistent with the Commitments.

(7) According to paragraph 24 of the Commitments, in order to be approved by the Commission, the proposed purchaser must fulfil the following criteria:

(a) The purchaser must be independent of and unconnected to the Parties and their affiliated undertakings (this being assessed having regard to the situation following the divestiture);

(b) The purchaser must have the financial resources, proven expertise in the railway infrastructure sector, and incentive to maintain and develop the Divestment Business as a viable and active competitive force in competition with the Parties and other competitors;

(c) The acquisition of the Divestment Business by the purchaser must neither be likely to create, in light of the information available to the Commission, prima facie competition concerns nor give rise to a risk that the implementation of the Commitments will be delayed. In particular, the purchaser must reasonably be expected to obtain all necessary approvals from the relevant regulatory authorities for the acquisition of the Divestment Business.

2.2. Description of the proposed purchaser

(8) Stadsbader is a construction group headquartered in Harelbeke (Belgium) active in infrastructure projects for public authorities and private customers. It is fully owned by […] and owns directly and indirectly participations in various companies that together form the 'Stadsbader Group'. The Stadsbader Group employs over 1,800 employees operating across 250 construction sites in Belgium and neighbouring countries.

(9) The Stadsbader Group carries out diverse projects across in multiple sectors, involving roadworks and infrastructure construction, demolition works, water treatment, sports infrastructure, artificial turf pitches, maintenance services, signage, engineering, steel and precast concrete production.

2.2.1. Independence from the Parties

(10) Pursuant to paragraph 24(a) of the Commitments, in order to be approved by the Commission, the purchaser must be independent from and unconnected to the Parties and their affiliated undertakings. Based on the information provided by Eiffage and the Trustee, the Stadsbader Group appears to be independent from and unconnected to the Parties and their affiliated undertakings.

(11) *First*, there are no cross-investments, direct or indirect shareholdings, joint ventures, consortium or other forms of partnership between the Stadsbader Group and the Parties or their respective affiliated undertakings.[2] The Stadsbader Group also does not share any common manager, executive or non-executive director with the Parties and their affiliated undertakings.[3]

(12) *Second*, […].

Table 1 – […]

[…]

Source: Reasoned Opinion, Exhibits 2 and 3

[2] Reasoned Opinion, paragraph 52.
[3] Reasoned Opinion, paragraph 52.

(13) As shown above, […].[4]

(14) *Third*, the Trustee confirmed that subcontracting arrangements […] are common in the construction industry,[5] which is consistent with the results of the market investigation.[6] As a result, the Trustee takes the view that these arm's-length relationships will not hamper Stadsbader Group's ability or incentive to maintain and operate the Divestment Business as an independent and competitive entity.[7]

(15) Based on the information provided by the Notifying Party and taking into account the Reasoned Opinion of the Trustee, the Commission concludes that Stadsbader is independent and unconnected to the Parties and their affiliated undertakings for the purposes of this approval.

2.2.2. Financial resources, proven expertise and incentive to maintain and develop the Divested Business as a viable and active competitive force

(16) Pursuant to paragraph 24(b) of the Commitments, in order to be approved by the Commission, the purchaser must have the financial resources, proven expertise in the railway infrastructure sector, and incentive to maintain and develop the Divestment Business as a viable and active competitive force in competition with the Parties and other competitors.

(17) In its Reasoned Opinion, the Trustee submits that Stadsbader has sufficient financial resources, proven expertise and incentives to maintain and develop the Divestment Business as a viable and active competitive business.

2.2.2.1. Financial resources

(18) Based on the information provided by Eiffage and the Trustee, Stadsbader will have sufficient financial resources after the Proposed Transaction to maintain and develop the Divestment Business as a viable competitive force on the market.

(19) *First*, Stadsbader is a profitable company with strong financial performance indicators, in terms of operating income, EBITDA margin, operating cash flow, net debt, financial leverage and projects to be delivered.[8]

(20) *Second*, the market investigation confirmed that EQOS Belgium is a viable business[9] with positive financial performance indicators. In 2023, its EBITDA margin amounted to […]%, and its net profit margin to […]%.[10] The data annexed to the Trustee's Reasoned Opinion also shows that […]% of the forecasted revenues of the Divestment Business in 2025 ([…]% for 2026) are already secured in backlog.[11]

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4 Reasoned Opinion, paragraph 57.
5 Reasoned Opinion, paragraph 7.
6 Minutes of a call with a customer for the installation and maintenance of catenaries and overhead contact lines in Belgium of 26 June 2024, paragraph 8.
7 Reasoned Opinion, paragraph 59.
8 Response Monitoring Trustee, 6 December 2024.
9 Decisions, paragraphs 100-106.
10 Reasoned Opinion, Annex 4.
11 Reasoned Opinion, Annex 4.

(21) *Third*, the total funding needed to pay for the base purchase price of the acquisition is equal to EUR […][12] and the Trustee confirmed that Stadsbader would be able to finance this purchase price without any material impact on the financial indicators of the combined entity.[13]

(22) *Fourth*, the comparison of the main financial indicators of Stadsbader and the Divestment Business listed in the table above shows that the Proposed Transaction will not deteriorate the financial situation of the Divestment Business which will remain viable and competitive. […].

2.2.2.2. Proven expertise

(23) In view of the information provided by Eiffage and the Trustee, Stadsbader has the proven expertise in the railway infrastructure sector to maintain and develop the Divestment Business as a viable competitive force.

(24) *First*, Stadsbader has realized various railway and railway infrastructure projects in Belgium on behalf of Infrabel, SNCB, Tuc Rail, STIB and De Lijn. These projects include the construction and/or renovation of railways (rail, catenaries and overhead contact lines) and railway infrastructure (e.g. platforms, stops and surroundings) for trains, trams and metros.[14]

(25) *Second*, Stadsbader holds a class 7 H2 accreditation[15] and the market investigation confirmed that it is capable of participating in tenders launched by customers in Belgium for the installation and maintenance of catenaries and overhead contact lines.[16]

(26) *Third*, Stadsbader has prior experience in mergers and acquisitions and the Trustee confirmed that Stadsbader managed to successfully integrate and develop the activities of the companies it has acquired over the past 15 years.[17]

(27) *Fourth*, the Trustee further submits that the management of Stadsbader is experienced and has sufficient resources to manage the acquisition of the Divestment Business.[18] The Trustee thus concludes that Stadsbader has sufficient proven expertise and experience to successfully complete the acquisition and develop the Divestment Business as a viable competitive force.[19]

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12 Reasoned Opinion, paragraph 73.
13 Reasoned Opinion, paragraph 76.
14 Reasoned Opinion, paragraph 68.
15 Eiffage also submits that Stadsbader is recognised as a class 8 contractor in other fields involving large scale and complex projects (RFI 1, question 2).
16 Minutes of a call with a customer for the installation and maintenance of catenaries and overhead contact lines in Belgium of 26 June 2024, paragraph 7. See also the Parties' Reasoned Proposal (section 3).
17 Reasoned Opinion, paragraph 63.
18 Reasoned Opinion paragraphs 69-71.
19 Reasoned Opinion paragraph 71.

2.2.2.3. Incentive

(28) Based on the information provided by Eiffage and the Trustee, the Commission considers that Stadsbader has the incentive to maintain and develop the Divestment Business as a viable competitive force.

(29) *First*, Stadsbader has limited activities in the installation and maintenance of catenaries and overhead contact lines in Belgium.[20] The acquisition would thus allow Stadsbader to strengthen its capabilities and capacities in this area and support its growth strategy.

(30) *Second*, the current business plan of the Divestment Business foresees an increase of its turnover, gross profit, EBITDA and net result in the coming years.

Figure 1 – EQOS Belgium's Profit and Loss Account

[…]

Source: Reasoned Opinion, Exhibit 7

(31) The Trustee confirmed that this business plan is credible and relevant given that the business model of the Divestment Business proved to generate stable profits and positive operating cash-flows in the past and that the latest financial data of the Divestment Business shows no sign of downturn in profitability, projects or cash-inflow.

(32) *Third*, Stadsbader intends to finance this acquisition in a way that will give it a strong financial incentive to maintain and develop the activities of the Divestment Business.[21]

(33) *Fourth*, Infrabel announced in 2023 a 10-year renovation plan for its network representing an investment of approx. EUR 600 million until 2032.[22] If confirmed, this renovation plan would be an opportunity for Stadsbader to bid for new projects and develop the Divestment Business into a viable competitive force.[23]

2.2.3. Absence of prima facie competition problems and risk in the implementation of the Commitments

(34) Pursuant to paragraph 24(c) of the Commitments, the acquisition of the Divestment Business by the purchaser must neither be likely to create, in light of the information available to the Commission, prima facie competition concerns nor give rise to a risk that the implementation of the Commitments will be delayed.

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20 Reasoned Opinion, paragraph 86.

21 Reasoned Opinion, paragraph 74.

22 Minutes of a call with a competitor for the installation and maintenance of catenaries and overhead contact lines of 17 September 2024, paragraph 4.

23 Reasoned Opinion, Annex 4.

(35) In view of the information provided by the Parties and the Trustee, the Proposed Transaction does not create *prima facie* competition concerns. This is because the activities of Stadsbader and the Divestment Business only overlap for the installation and maintenance of catenaries and overhead contact lines on conventional long-distance lines in Belgium (at national level) and Flanders (at regional level).[24]

(36) Because the combined market share of Stadsbader and the Divestment Business remains below 20% at regional level in Flanders, the Proposed Transaction would only give rise to an affected market at national level. In this context, the table below provides the market shares of Stadsbader, the Divestment Business and their main competitors in Belgium over the past three years.

Table 2 – Market shares for the installation and maintenance of long-distance catenaries and overhead contact lines in Belgium (in value, 2021-2023)

BELGIUM	2021		2022		2023	
	Share (%)	Sales (m€)	Share (%)	Sales (m€)	Share (%)	Sales (m€)
EQOS Belgium	[10-20]%	[…]	[10-20]%	[…]	[10-20]%	[…]
Stadsbader	[0-5]%	[…]	[0-5]%	[…]	[0-5]%	[…]
Combined	***[20-30]%***	[…]	***[20-30]%***	[…]	***[20-30]%***	[…]
Mobix	***[20-30]%***	[…]	***[20-30]%***	[…]	***[20-30]%***	[…]
Eiffage	[10-20]%	[…]	[20-30]%	[…]	[20-30]%	[…]
Equans	[10-20]%	[…]	[10-20]%	[…]	[10-20]%	[…]
Strukton	[10-20]%	[…]	[10-20]%	[…]	[10-20]%	[…]
De Witte	[5-10]%	[…]	[5-10]%	[…]	[5-10]%	[…]
Others	[0-10]%	[…]	[0-5]%	[…]	[0-5]%	[…]
Total	100%	[…]	100%	[…]	100%	[…]

Source: Parties' Reasoned Proposal, section 3.

(37) In view of the data above, the Proposed Transaction does not give rise to prima facie competition concerns for the installation and maintenance of conventional long-distance catenaries and overhead contact lines in Belgium.

(38) *First*, the combined market share of the Divestment Business and Stadsbader on this market remains below [20-30]%[25] with a limited increment ([0-5]%). *Second*, the new entity will continue to face significant competitors at national level, including two competitors with a larger market share: Mobix ([20-30]%) and Eiffage ([20-30]%). *Third*, the bidding data submitted by the Parties shows that the Divestment Business and Stadsbader do not compete closely.

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24 This conclusion is based on all plausible market definition left open in the Decision. According to the decision-making practice of the French Competition Authority ('FCA'), the activities of Stadsbader and the Divestment Business would also overlap for the installation, renewal and maintenance of train tracks in Belgium (see e.g. FCA decision of 28 December 2019 in case 18-DCC-229 concerning the acquisition of sole control of the Meccoli group by Eiffage infrastructure, para. 6). However, Eiffage confirmed that the combined market share of Stadsbader and the Divestment Business on such market would remain well below [10-20]% (RFI 1, question 1).

25 Guidelines on the assessment of horizontal mergers under the Council Regulation on the control of concentrations between undertakings, OJ 5.2.2004, C 31, paragraph 18.

Table 3 – Participation rates (Belgium, 2019-March 2024)[26]

[…]

Source: Form CO, Table 10

Table 4 – Competition rates (Belgium, 2019-2023)[27]

[…]

Source: Form CO, Table 7.

(39) As shown above:

(a) […];

(b) […];

(c) […].

(40) This is consistent with the results of the market investigation which show that the closest competitors of the Divestment Business at national level are Mobix, Eiffage and Equans.[28]

2.2.3.1. Absence of risk in the implementation of the Commitments

(41) The Proposed Transaction is not subject to any other regulatory approval[29] and the Trustee confirmed that it does not give rise to any other specific implementation risk.[30]

2.2.4. Conclusion on the purchaser criteria

(42) In light of the foregoing and taking into account the Reason Opinion submitted by the Trustee, the Commission concludes that EQOS meets the purchaser criteria set out in paragraph 24 of the Commitments.

3. ASSESSMENT OF THE PROPOSED AGREEMENTS

(43) The Proposed Agreements comprise (i) the Share Purchase Agreement ('SPA') covering the sale of shares and the transfer of the Divestment Business to Stadsbader and (ii) the Transitional Services Agreement ('TSA'), which regulates the transitional services to be provided by Eiffage or any of its subsidiaries to Stadsbader, to ensure the viability of the Divestment Business and to facilitate its smooth transfer to Stadsbader.

(44) *First*, under Schedule 6.1.1(ii) of the SPA, Eiffage guarantees that EQOS Belgium holds all permits, licenses, authorizations and approvals required to carry

26 Participation rate = number of bids / total awarded tenders.

27 Competition rate = number of tenders where the companies are bidding against each other / total awarded tenders.

28 Decision, paragraph 60.

29 Reasoned Opinion, paragraph 24.

30 Reasoned Opinion, paragraph 31.

out its activities, that its assets include all of the assets that are necessary to conduct its activities, […].[31] The Trustee confirms that the Divestment Business comprises all assets that contribute to the current operation or are necessary to ensure the viability and competitiveness of the Divestment Business and that it comprises all licenses, permits and authorizations issued for the benefit of the Divestment Business, all contracts, leases, commitments, customer order, customer records of the Divestment Business and its personnel.[32]

(45) *Second*, clause 3.1 of the SPA includes a condition precedent requiring the prior approval by the Commission of Stadsbader for the closing of the Proposed Transaction, with a long-stop date on […], which is earlier than the end of the closing period. The Trustee confirmed that Eiffage and Stadsbader are likely to be in a position to close the Proposed Transaction in this timeframe.

(46) *Third*, clause 4.1.2 of the SPA clearly states that EQOS Belgium will be held separately from the EQOS group and from any other entities retained by Eiffage, in accordance with paragraphs 16 to 18 of the Commitments.

(47) *Fourth*, the SPA clarifies that its provisions should be interpreted in light of the Commitments and that the Commitments should prevail in case of conflict.[33] […].[34]

(48) *Fifth*, pursuant to clause 10 of the SPA Eiffage commits to hold Stadsbader harmless from any actual cash loss born by the Divestment Business in connection with the Tram de Liège Project. […].

(49) *Sixth*, […]. According to clause 12.3 of the SPA, Eiffage also commits not to solicit employees or independent contractors of the Divestment Business for a period of […] years as from the closing date.

(50) *Seventh*, the TSA provides for a transitional period of up to […] years after closing of the SPA in which Eiffage will provide certain limited corporate support services to the Divestment Business, ensuring its uninterrupted operation. […].[35]

(51) The Trustee further submits that, from an operational point of view, the Divestment Business is largely independent. To the extent that any of such corporate support services cannot be assumed immediately by the Divestment Business at the closing of the Proposed Transaction, Eiffage commits to offer these transitional services to the Divestment Business on terms and conditions equivalent to those at present afforded to the Divestment Business.[36] […].

(52) The Trustee also submits that the TSA provisions ensure that the existing links between the activities retained by the Parties and the Divestment Business should be as limited in time and scope as possible. Pursuant to recital (C) of the TSA

31 […] (RFI 1, question 4(d)).
32 Reasoned Opinion, paragraph 154.
33 RFI 1, question 5. See addendum to the SPA dated 11 December 2024.
34 RFI 1, question 6. See addendum to the SPA dated 11 December 2024.
35 Reasoned Opinion, paragraph 220.
36 Reasoned Opinion, paragraph 193.

Stadsbader also commits to keep the transitional period as short as possible and will ensure that the Divestment Business will have appropriate replacement service providers. Therefore, the Trustee deems the TSA consistent with the contents and the purposes of the Commitments.[37]

(53) In light of the above considerations and taking into account the Trustee's Reasoned Opinion, the Commission concludes that the Proposed Agreements are consistent with the Commitments and that, accordingly, the Divestment Business is being sold in a manner consistent with the Commitments.

4. CONCLUSION

(54) Based on the above assessment, the Commission approves Stadsbader as a suitable purchaser for the above-mentioned reasons.

(55) Based on the Proposed Agreements, the Commission further concludes that the Divestment Business is being sold in a manner consistent with the Commitments.

(56) This decision only constitutes approval of the proposed purchaser identified herein and of the Proposed Agreements. This decision does not constitute a confirmation that Eiffage has complied with its Commitments.

(57) This decision is based on Section D of the Commitments attached to the Commission Decision of 16 October 2024.

For the Commission

(Signed)
Olivier GUERSENT
Director-General

[37] Reasoned Opinion, paragraph 220.